

Before the
FEDERAL MARITIME COMMISSION

Docket No. 2010(F)

Simple Forwarding, Inc.

v.

China United Lines Ltd and Norton Lilly International

**ANSWER OF NORTON LILLY INTERNATIONAL TO AMENDED COMPLAINT OF
SIMPLE FORWARDING**

Pursuant to the January 10, 2025 Order of the Administrative Law Judge Richard Ambrow, Norton Lilly International, Inc (as complained, improperly, by Claimant) hereby respond to the Amended Verified Complaint (“Amended Complaint”) of Simple Forwarding, Inc. (“Simple Forwarding” or the “Claimant”).

I. Norton Lilly International Shall be Removed from the Complaint

According to the Amended Complainant, as stated in its October 9, 2024 filing, the entity it intended to file its Amended Complaint against is China United Lines Limited ("CULL") and Norton Lilly International, Inc ("NLI"). As an initial matter, NLI shall not be involved in this case, as NLI was acting as Agent for C.U.Lines Limited ("CUL"), a Hong Kong company separately incorporated from CULL which was (but no longer is) an ocean common carrier, in the United States of America during 2021. NLI has issued the invoice No. 06343720 to New Opportunities Trucking Inc, dated 7th November, 2021, on CUL's behalf. However, the Claimant was neither the paying party or it failed to prove its relationship with the paying party, i.e. New Opportunities Trucking Inc.

Simple Forwarding is a total stranger to NLI. It is not in any respect a customer of NLI. Claimant did not have a service contract with CULL or NLI. Neither CULL nor NLI invoiced Simple Forwarding for any charges, including detention or demurrage. Simple Forwarding has never proffered any cargo to CULL or NLI, nor has it never paid any charges to CULL or NLI. The Amended Complaint does not aver otherwise.

The shipment referred to in the Amended Complaint was not a Simple Forwarding shipment. The shipper for that cargo was World Trade Shipping Limited. The invoice at issue was not paid to NLI by Simple Forwarding, but rather by New Opportunities Trucking, Inc.

Hence, NLI shall be removed from the Complaint.

II. Claimant is not Entitled to Pursue Reparations

A. Only a "Direct Purchaser" May Seek Reparations

Although any "person" may file a complaint alleging a violation of the Shipping Act of 1984,

46 U.S.C. § 41301(a), only those that suffer "actual injury" *as a result* of the violation are entitled to seek reparations. 46 U.S.C. § 41305(b). Longstanding interpretation of the Shipping Act has been that, where the claims are based on unreasonable or excessive charges, as they are here, only the entities that purchased the relevant services *directly* from the ocean common carrier ("direct purchasers" or "first purchasers") have suffered the "actual injury" that confers standing to seek reparations. See, e.g., *Intermodal Motor Carriers Conference v. OCEMA*, 2024 WL 641501 (F.M.C.) (FMC 2024); *TCW, Inc. v. Evergreen Shipping Agency (AM) Corp.*, 2022 WL 18068977 (F.M.C.) (FMC 2022); *In re Vehicle Carrier Services*, 1 FMC 2d 440 (FMC 2019); *Gov't of Guam v. Sea Land Serv., Inc.*, 29 S.R.R. 894 (ALJ, Admin. Final 2002).

As the Commission explained in OCEMA: "For the past 90 years, the Commission and its predecessor agencies have followed Supreme Court precedent in applying what has become known 14 as the 'direct purchaser rule.' . . . [T]he direct purchaser rule deems the person that paid illegal overcharges (or directly sustained them) as the only person 'directly damaged,' regardless of what may have occurred later." 2024 WL 641501, at *44. Likewise, in *TCW* the Commission stated, citing to *In re Vehicle Carrier Services* and *Gov't of Guam v. Sea Land*: "Under the direct purchaser rule, only the party who actually paid the carrier can sue for reparations for an overcharge, not indirect purchasers further down the chain.....Under the direct purchaser rule, 'parties suing for alleged overcharges can only recover reparations if they actually paid the carrier or received an assignment from the direct purchaser.'" 2022 WL 18068977, at *7 The Commission's application of the "direct purchaser" standing rule has roots over a century old. In *Southern Pacific Co v. Damell-Taenzer Lumber Co.*, 245 U.S. 531 (1918), a case involving reparations ordered by the Interstate Commerce Commission, the Supreme Court explained that the injury, and thus the relief, belonged solely to the party that actually paid the carrier. This rule was imported into the Shipping Act in 1934. *Oakland Motor Car Co. v. Great Lakes Transit Corp.*, 1 U.S.S.B.B. 308, 310-311

(1934).¹ There, the FMC held that the bankrupt direct payor complainant, not the trustee in the complainant's later-filed bankruptcy, was the only proper party at interest. Its holding explicitly relied on Southern Pacific in concluding that the Shipping Act "authorizes an award of reparations to the party injured," that the complainant "was injured the moment he paid the charges and was the person directly damaged by the collection of the illegal rates[.]" The direct purchaser rule applies even where the complainant is an affiliate or parent of the entity that actually paid the carrier.²

The Commission's "direct purchaser" rule is similar to that applied by the United States federal courts with respect to the federal antitrust laws. As the Commission recently stated: "The Commission's rule is consistent with the Supreme Court's direct purchaser rule developed in *Illinois Brick v. Illinois*, 421 U.S. 720 (1977)." TCW, 2022 WL 18068977, at *8.

B. Claimant is not a "Direct Purchaser"

Claimant seeks reparations relating to alleged (but unspecified) charges, even though: (1) Claimant did not have a service contract with CULL or NLI; (2) Claimant did not appear as a shipper or consignee on any CULL bill of lading; (3) CULL and NLI did not invoice charges to Claimant; and (4) Claimant did not directly pay any charges to CULL or NLI, but rather, these charges were paid directly to NLI by New Opportunities Trucking, Inc. These facts, especially Fact 4, demonstrate conclusively that Complainant is not a direct purchaser and may not seek reparations.

¹ Following *Oakland Motor Car*, the Commission consistently has continued to apply the "direct purchaser" standing rule for reparations complaints. For example, *Sanrio, Inc. v. Maersk Line*, 19 S.R.R. 907 (ALJ Admin. Final 1979), holds that "the law in complaint cases involving alleged overcharges ... is that the person who paid the freight to the carrier has standing to recover reparation for injury, not a secondary party, even if the latter party ultimately bore the cost of the overcharge." To like effect, see, e.g., *California Cartage Co. v. Pacific Maritime Association*, 23 S.R.R. 420, 427 (FMC 1985); *Trane Co. v. South African Marine*, 19 FMC 375, 378, n.9 & accompanying text (Init. Dec., adopted 1976); *Carton-Print, Inc. v. Austasia Container Express*, 20 FMC 31, 34 (Init. Dec., Admin. Final 1977); *3M v. Hapag-Lloyd*, 20 S.R.R. 1020, 1021 n.3 (FMC 1981); *FMC Corp. v. Argentine Line*, 19 S.R.R. 1940, 1491 (Settle. Off. 1980).

² See, e.g., *Stauffer Chem. Europe S.A. v. NYK Line*, 27 S.R.R. 417, 419 n.2 (FMC 1995) (holding that "the Commission has ruled that an overcharge case complainant, not merely its corporate affiliate, parent, or subsidiary, must produce evidence that it has either paid the freight or has validly succeeded to the claim"); *Procter & Gamble Mfg. Co. v. Lykes Bros. SS. Co.*, 25 S.R.R. 1370, 1371 (Settle. Off. 1991) (holding that parent company of "direct purchaser" shipper was ineligible to file claim for reparations because subsidiary, not, not parent, "paid the applicable charges and suffered any injury that might have resulted therefrom")

The Amended Complaint does not state that Claimant was a direct purchaser; nor does it allege that Claimant paid any of the challenged charges directly to CULL or NLI. Indeed, even in its Response to the Motion to Dismiss, Claimant did not suggest that it was a direct purchaser, but instead argued that it was entitled to pursue reparations even though it **was not** the direct purchaser. Claimant's argument in this regard badly misrepresented the Commission cases it discussed.

Claimant first addressed *In Re: [Vehicle] Carrier Services*, 2019 WL 5419475, (FMC Oct. 21, 2019). There, the Commission held that various entities that had filed separate Complaints were not direct purchasers because they "did not allege that they directly purchased services from Respondents." *Id.* at *7. It found other complainants to be direct purchasers not, as claimant says, because they were ocean transportation intermediaries, but because they alleged that "**they paid Respondents directly for vehicle carrier service.**" *Id.* at * 3 (emphasis added).³ *In Re: [Vehicle] Carrier Services* thus squarely establishes that, regardless of the status of the complainant as an OTI or otherwise, it **may not** pursue reparations **unless it actually paid the charges directly** to the carrier. Claimant here does not (and could not) allege that Complainant made any payments at all to CULL or NLI, much less directly. Indeed, the House BOL (Complainant's Exhibit A) prove that Complainant had no relationship to CULL or NLI. The House Bill of Lading demonstrates beyond peradventure that Complainant's relationship was only with its chosen NVOCC.⁴

In *Visual Comfort & Co., v. Cosco Shipping Lines Co. Ltd.*, Docket No. 24-01 (ALJ 2024), the Presiding Officer allowed VCC to continue as complainant not because it was a direct purchaser, which it was not, but because VCC had obtained an assignment of claims from the actual direct

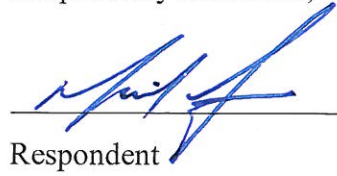
³ Complainant mischaracterizes the group that was found to be first purchasers as including manufacturers. It did not; rather, the members were all NVOCCs.

⁴ This bill of lading thus proves false Complainant's statement that "Complainant is a Shipper as defined by 46 U.S.C. Section 40102(23), the Consignee on the Master Bill of Lading, and additionally is the OTI for this shipment, and is the party responsible for the disputed charges." Complainant is not a shipper, as it is not designated as either the shipper or the consignee on the Master Bill of Lading (only the House Bill of Lading). Nor could Complainant possibly be the OTI for that shipment, as an NVOCC would have to be shown as shipper on the Master BOL and ocean freight forwarders by definition function as such only in the export trade. Given these relationships, there is no plausible basis for the canard that Complainant was responsible to CUL for the disputed charges.

purchaser, so VCC is now pursuing the **assignor's** claims for reparations, not its own. Claimant does not allege, much less prove, that it has an assignment of claims from the entity that paid CULL or NLI directly.

Dated January 10,
2025

Respectfully submitted,



Respondent

Norton Lilly International

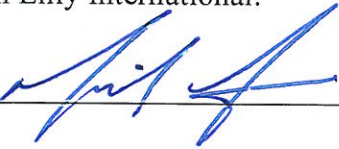
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Mike Ausmus
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VERIFICATION

I declare under penalty of perjury that the facts stated in the foregoing Answer to Amended Complaint are true and correct as of the date stated below to the best of my knowledge.

For Norton Lilly International:

By: 

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CERTIFICATE OF SERVICE

I certify that on January 10th, 2025, a true and correct copy of the foregoing was filed via electronic mail with the Federal Maritime Commission and the following known parties of record for the Claimant and Respondents in accordance with 46 C.F.R. § 502.320.

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A handwritten signature in blue ink, appearing to read "Mike", is written over a horizontal line.

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